wasn't prepared. Yashwant Sinha (the former finance minister) had put labour reforms in his budget but couldn't do it. The UPA didn't even make a pretence of doing it," says Arvind Panagariya, former vice-chairman of Niti Aayog and Professor of Economics at Columbia University. "When I met the prime minister in 2015, a lot of the things that he has done since were on his radar even then, including privatisation of banks. He has tremendous patience and waits for the right opportunity."

Meanwhile, local sourcing norms were eased for FDI (foreign direct investment) in single brand retail. Nearly all sectors have been opened up to 100 per cent FDI, barring those in defence, multi-brand retail and insurance. Some of the government's efforts are bearing fruit—India registered its highest ever annual FDI inflow in fiscal year 2020-21, with $81.7 billion (about Rs 6.12 lakh crore). About $42.8 billion (Rs 3.2 lakh crore) arrived between April and September 2021. "The PM works on project mode, because he knows that pushing forward key projects will rev up all associated departments," says a senior government official.

The PMO has also maintained a focus on development. The Modi government's welfare schemes—from Jan Dhan to Ujjwala and Swachch Bharat—are being implemented in mission mode, with 112 of India's most backward districts being regularly monitored under the Aspirational Districts Programme. "We have seen these districts [progress well] across development parameters," says Amitabh Kant, CEO of Niti Aayog. "The PM holds periodic meetings to monitor progress. He believes the success of any scheme is determined by delivery on the ground." Kant, who has worked with several PMs, says he sees a dynamic of competitive and cooperative federalism now. All ministries have built data dashboards that have made reviews transparent and accessible to all, helping to measure outcomes.

The telecom sector, which was operating on wafer thin margins and looked in danger of becoming a duopoly, also got a lease of life as a result of Central reforms in 2021. Nine structural and five procedural reforms were introduced—these included permitting 100 per cent FDI, simplifying licence requirements, increasing the tenure of spectrum allotments and so on. Bank guarantee requirements against the licence fees were slashed by 80 per cent. Telcos were also given the option to defer AGR (adjusted gross revenues) and spectrum payments by up to four years. The prickly issue with telcos of including non-telecom revenues for calculating AGR has also been done away with, helping firms like Vodafone.

Officials at the PMO say the pandemic was also used to fast-track reforms, especially in digital payments, social infrastructure (housing to toilets) and infrastructure construction. The last includes the announcement of Gati Shakti, a Rs 100 lakh crore national infrastructure master plan, the latest chapter in the Centre's infra push. The PM is said to be monitoring the implementation of this scheme by the states on a war footing.

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AMITABH KANT, *CEO, Niti Aayog*

The success of the Centre's ambitious privatisation agenda, however, is fraught with risk—meeting disinvestment targets has never been easy. "No matter the market [conditions], we have always failed to achieve our divestment target," says Nilesh Shah, MD of Kotak Mahindra Asset Management Company. "Our divestment is value-destructive as we have chosen the path of market divestment, where constant supply keeps prices below fair value." The best way to do divestment, he says, would be to create a professionally managed government holding company like Singapore's Temasek.

As his bank denationalisation gathers steam, Modi is up against strident labour unions. Some also argue that privatisation does not necessarily translate into superior management. Modi's critics also allege that a lot of the reforms his government is showcasing are clever marketing. In a rebuttal to the narrative that the prime minister has been a major reformer, former finance minister, P. Chidambaram wrote in a leading daily: 'The codification of labour laws is an administrative act, not a pathbreaking reform.'

Those who work with or for Modi often praise his ability to listen to stakeholders, his focus on implementation, his emphasis on accountability and his ability to see what others miss. But his naysayers also point out reforms ought to deliver growth. Much of the prime minister's tenure has seen only moderate growth of seven per cent. In a few quarters just before the pandemic, this even fell to below five per cent. The pandemic has made matters worse. Though growth has returned, sustaining it will be a challenge. The hope of reforms is that they deliver progress, eventually. A lot depends on implementation. India, much like its bevy of new reforms, is a work in progress. The prime minister is in the driver's seat, and accelerate he must—but with caution. ■